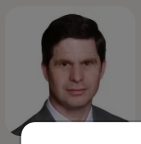
The Bank Board increased interest rates to 4% in a close call, and we see valid arguments for both positions. Second-round effects will push inflation above the upper bound of the target corridor for some time, while dwindling economic activity warrants lots of caution. We see neither hikes nor cuts as the most likely outcome for quite some time



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The Czech National Bank's decision to raise rates on 5 November was a close call

Assessing the impact of Hormuz

The Czech National Bank increased the policy rate by 25bp to 4% in a split vote on 5 November, with Governor Ales Michl and board members Jan Kubicek, Jan Prochazka and Jakub Seidler voting for a hike. Meanwhile, Deputy Governors Eva Zamrazilova and Jan Frait, along with board member Karina Kubelkova, favoured interest rate stability. We assess the current situation and the risks to the outlook as complex and see relevant justification for both options, depending on whether your concerns are more on the side of

second-round inflationary effects or on the side of disappointing economic activity and the consequences for consumption.

The Bank Board assessed overall risks as pro-inflationary. There was an agreement that the secondary impacts of the energy shock have not been significantly reflected in domestic inflation so far. However, as the Hormuz conflict becomes more protracted, the likelihood of tangible second-round effects increases. Jakub Seidler noted that global energy prices have been elevated for too long, so it would be difficult to avoid a pass-through to other segments of consumer prices. Deputy Governor Zamrazilova emphasised that much depends on further developments in the Middle Eastern conflict. Should tensions ease in the near future, a rate hike at the N

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agreed that this is a key factor reducing the need for further tightening for the time being.

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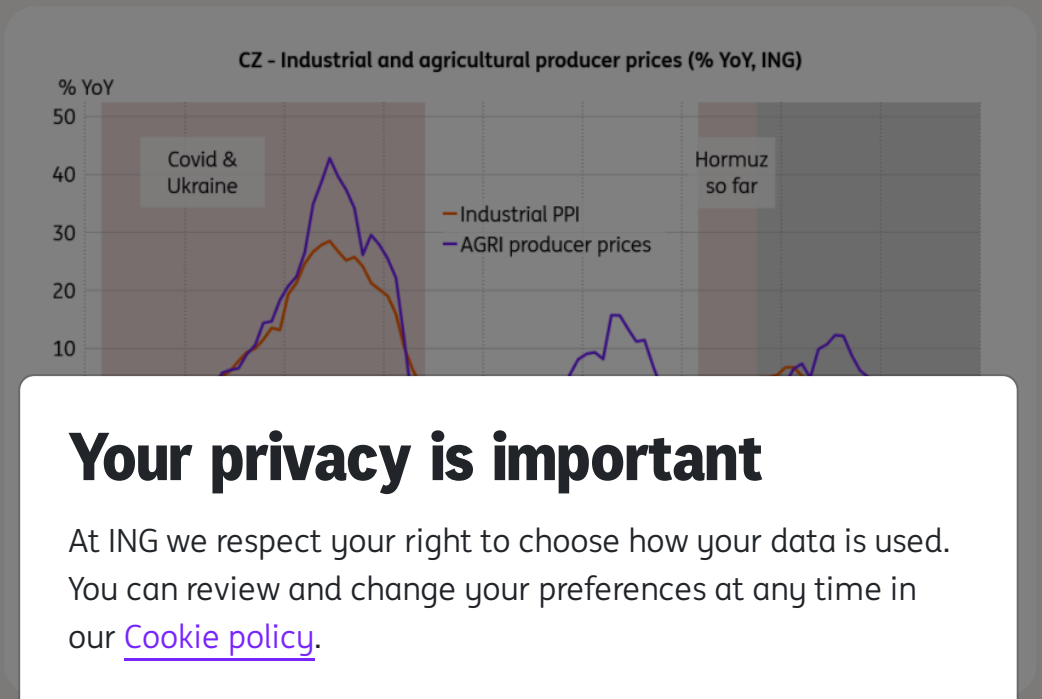
To rise or not to rise?

However, as Jan Kubicek noted, core inflation is not slowing down as previously assumed and is even slightly increasing. This represents a fundamental concern, especially in combination with the disappointing real growth performance. That said, producer prices have embarked on an upward trend and may put further pressure on the core rate. Jakub Seidler and Karina Kubelkova emphasised that the renewed price increases in the energy and food segment are usually the key drivers when it comes to inflation

expectations, and the first signs of an increase are already visible. And we all know that unanchored inflation expectations are one of the things that keep central bankers awake at night.

Producer prices will drive consumer prices



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We see the arguments in both directions as valid, which made the November decision relatively complex and was reflected in the close vote. Time will tell whether the second-round effects that we believe are just kicking in will prove significant without weighing too heavily on economic activity. Or whether the deteriorating real purchasing power and dwindling real wage growth could lead to weaker household consumption, which would in turn put downward pressure on inflation. Both effects are certainly interconnected, which only underscores the beauty of macroeconomics, and the formidable power of prices to clear the market.

Punchy inflation across price segments

When it comes to our inflation forecast, we definitely see pro-inflationary pressures when looking ahead. We expect annual producer price growth to peak at around 7% in industry early next year and at around 12% in agriculture mid-next year. At the same time, the annual pace of import prices already quickened to above 8% in September. Those are not low growth rates, and all are going to feed into consumer prices sooner or later. At the same time, the koruna continues to weaken against the dollar, making imports pricier. With all that on board, we see the yearly average of inflation picking up from 2.1% this year to 3.2% next, reaching a peak of just below 4% in February.

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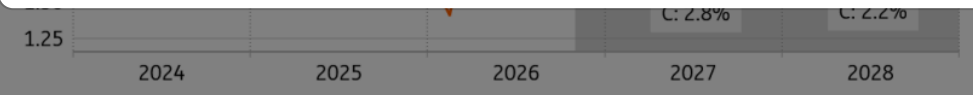
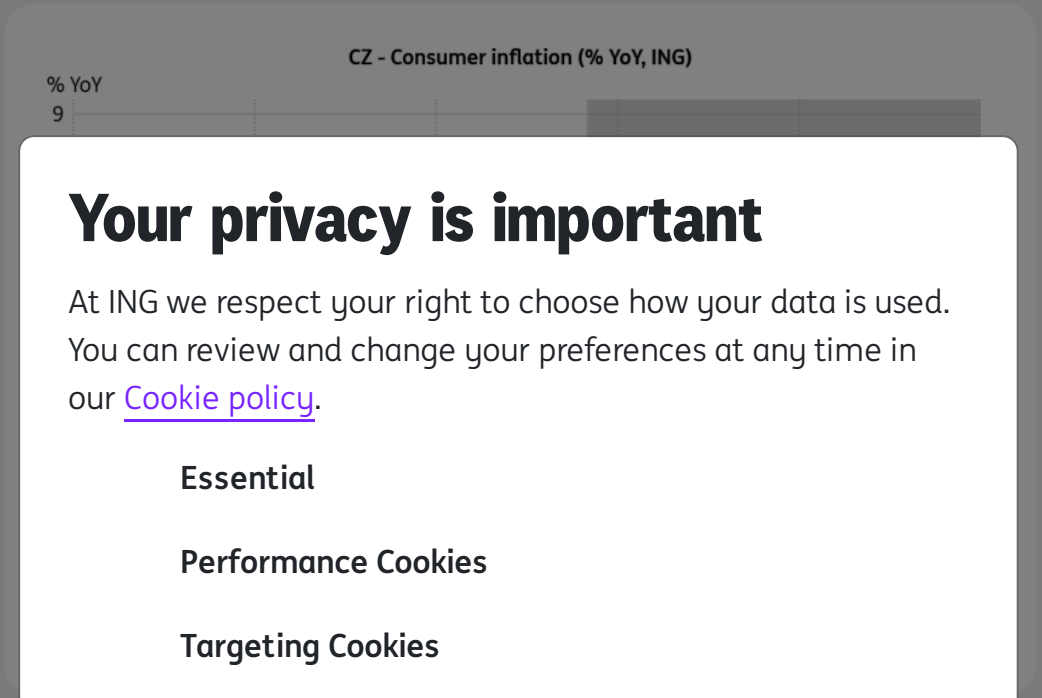


Source: CNB, ING, Macrobond

The most pronounced uncertainty lies with January's gain in regulated prices. We have already collected information from distributors and factor in a 3.5% increase in electricity prices, a 6.5% increase in natural gas prices, an 8% increase in heating prices and a 6% rise in water charges. Nonetheless, not all distributors will apply the same increase and not all households will be affected equally. Based on our best estimate, we expect a 3% monthly increase in regulated prices in January, resulting in a 3.8%

year-on-year gain. However, should global oil and European natural gas prices remain elevated, we expect further increases throughout the year, lifting average regulated price growth to 4.5% next year. This figure is still somewhat below the CNB's 5.6% forecast, which seems to be at the upper bound of what we currently deem plausible.

Regulated and food prices turn pro-inflationary



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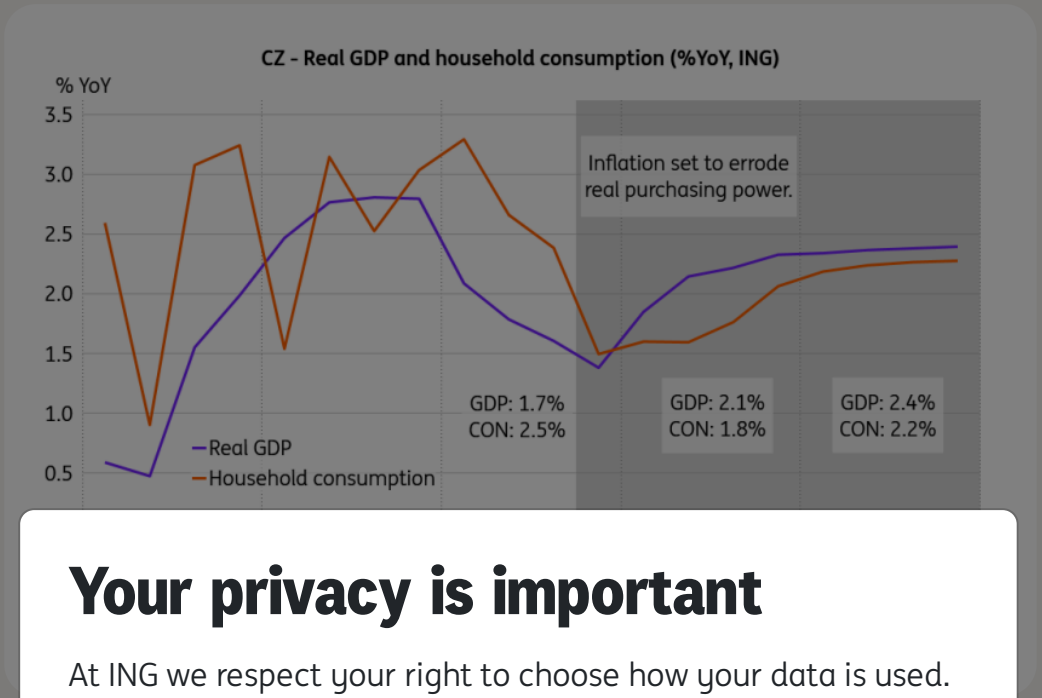
peaking at around 4%. That said, we sense quite some upward risks here, especially should energy prices stay elevated for longer, which would propel fertiliser prices and transport costs.

Neither hikes nor cuts in the pipeline

When it comes to core inflation, two opposing forces are set for a duel: second-round effects, coupled with rising import prices, against a softening housing market and crumbling real purchasing power. Timing is of the essence. We expect the former to strike first, but the latter to respond without much hesitation. For now, we see the forces as roughly balanced, keeping average core inflation just below 3% next year.

Consumption could slow tangibly along with real wages



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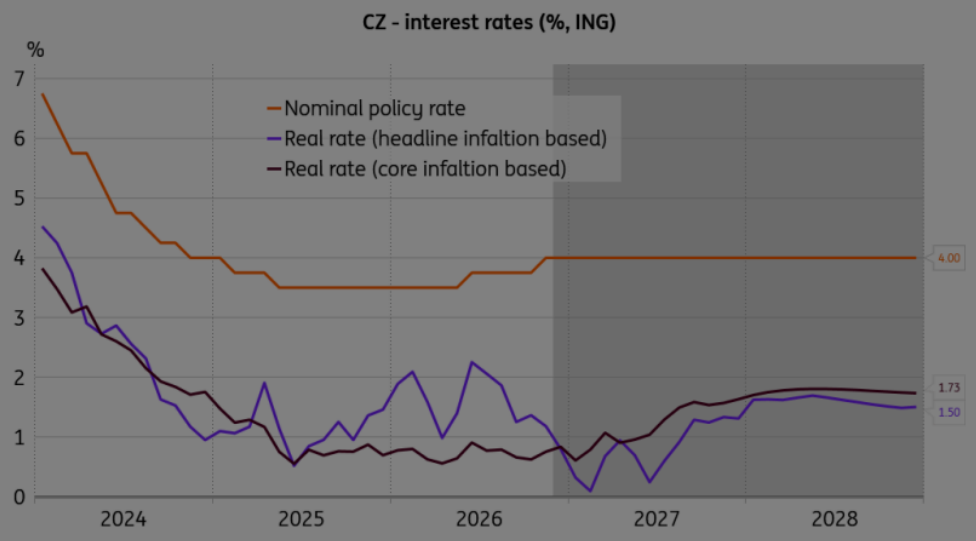
further hikes nor cuts when looking way ahead, with the 4% policy rate settling in as the new normal.

The 4% rate makes itself at home



Source: CNB, ING, Macrobond

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Regulated prices | Real GDP | Monetary policy

Interest rates | Inflation | Forecast | Czechia | CNB

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Hungary will announce its latest interest rate decision and release September wage data next week. Meanwhile, October's core inflation data is due from Poland, alongside producer price figures from the Czech Republic

Adam Antoniak, Peter Virovacz and David Havrlant

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Poland: Core inflation expected to have eased below 3% in October

Monday brings the release of October's core inflation data in Poland. On the basis of the available data, we estimate that core inflation excluding food and energy moderated below 3% year-on-year for the first time since March. Despite the surge in fuel prices, there are few signals of broader inflationary pressure in Poland's economy, even though headline inflation is elevated. Still, the National Bank of Poland is sending hawkish signals and may tighten monetary policy at the beginning of 2027. We expect rates to be hiked by 50bp in 1Q27.

Hungary: Market sentiment expected to keep NBH in wait-and-see mode

Tuesday brings the National Bank of Hungary's latest interest rate decision. While much of the world is grappling with renewed inflation fears, Hungary remains something of an island of safety, with both headline and core inflation hovering around 2% year-on-year. That gives the NBH room to ease – but the door remains locked, and global market sentiment holds the key. With markets increasingly pricing aggressive rate hikes from major central banks and market tensions elevated, the NBH has little choice but to remain in wait-and-see mode. The risk is that by the time the external backdrop structurally improves, domestic inflationary p
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inflationary pressure.

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Czech Republic: Producer prices expected to have climbed in October

Czech PPI data will be released on Monday. Producer prices likely continued their monthly gains in October, which have driven the annual growth pace higher. Both the surging Brent crude price and depreciating koruna contributed to rising input costs that were only partially passed to end prices, putting profitability under extended pressure.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
		Monday 16 November		
Turkey	0800	Oct Budget Balance (TRY bn)	-	-532.2
Poland	1300	Oct Core CPI (YoY%)	2.8	3.1
Kazakhstan	1000	Q3 GDP (YoY%)	-	4.1
	-	Oct Industrial Production (YoY%)	-	3.6
Croatia	1000	Oct CPI (MoM%/YoY%)	-/-	0.9/4.7
Czech Republic	0800	Oct PPI (MoM%/YoY%)	1.2/5.0	1.2/3.7
		Tuesday 17 November		
Hungary	1300	Rate Decision	5.50	5.50
		Wednesday 18 November		
Russia	1600	Oct PPI (MoM%/YoY%)	-/-	2.5/8.6
Hungary	0730	Sep Average Gross Wages (YoY%)	8.0	8.4
		Thursday 19 November		
Turkey	1130	FX Reserves (USD bn)	-	56.1
Poland	0830	Nov Consumer Confidence	-	-14
		Friday 20 November		
Turkey	0700	Nov Business Confidence	-	99.8
		Nov Consumer Confidence	-	84.8

Source: Refinitiv, ING

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Poland's economy slowed in the third quarter, while core inflation fell below 3% YoY. There is still little evidence of second-round effects. The MPC has nevertheless turned more hawkish with staff projecting high inflation next year, supporting our base case of 50bp of rate hikes in early 2027

Rafal Benecki and Adam Antoniak

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GDP growth slowed in 3Q26, similar to other economies in the region

According to the preliminary estimate, GDP growth slowed to 3.5% YoY in 3Q26 from 4.1% YoY in 2Q26. Seasonally adjusted data point to a slowdown in growth to 0.8% QoQ from 1.1% QoQ in the previous quarter. We will learn the breakdown of GDP growth for 3Q26 on 30 November, but the available data suggests that growth in industrial gross value added slowed, while construction activity declined in annual terms. Continued solid growth in services was not enough to offset weaker performance in these areas.

On the expenditure side, the main reason for slower growth last quarter compared with 2Q26 was a deterioration in net exports, ie, the foreign trade balance. Net exports added 0.5ppt to annual GDP growth in 2Q26, while we estimate that the contribution turned slightly negative in 3Q26. Private consumption growth probably slowed further as well. With nominal wage growth normalising and inflation rising, household incomes came under pressure. Higher spending on fuel is limiting households' ability to increase consumption elsewhere. Geopolitical uncertainty also remains elevated, resulting in a persistently high propensity to save.

Slower GDP growth, including weaker consumer demand, is an important factor limiting inflationary pressure. This marks a s h w b o r c t

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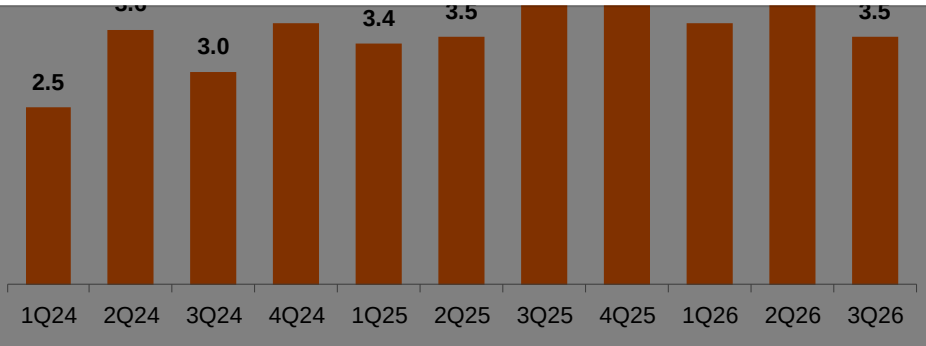

Source: GUS, ING

October CPI inflation confirmed at 3.5% YoY, with core inflation falling below 3% YoY

According to the final estimate, CPI inflation fell to 3.5% YoY in October from 4.1% YoY in September. This was mainly due to a decline in fuel prices (-9.7% MoM), related to cuts to excise duty and VAT on petrol and diesel. Growth in food and non-alcoholic beverage prices also remained low at 0.4% MoM, although we are approaching the end of the period of annual deflation in this category that began in June this year. The impact of the energy crisis was, however, visible in housing energy prices, which rose by 1.7% MoM, mainly because of higher prices for solid fuels (7.4% MoM, including an 11.2% MoM rise in coal) and liquid fuels (2.9% MoM). Goods prices rose by 2.9% YoY and services prices by 4.9% YoY, compared with 3.6% YoY and 5.3% YoY, respectively, in September.

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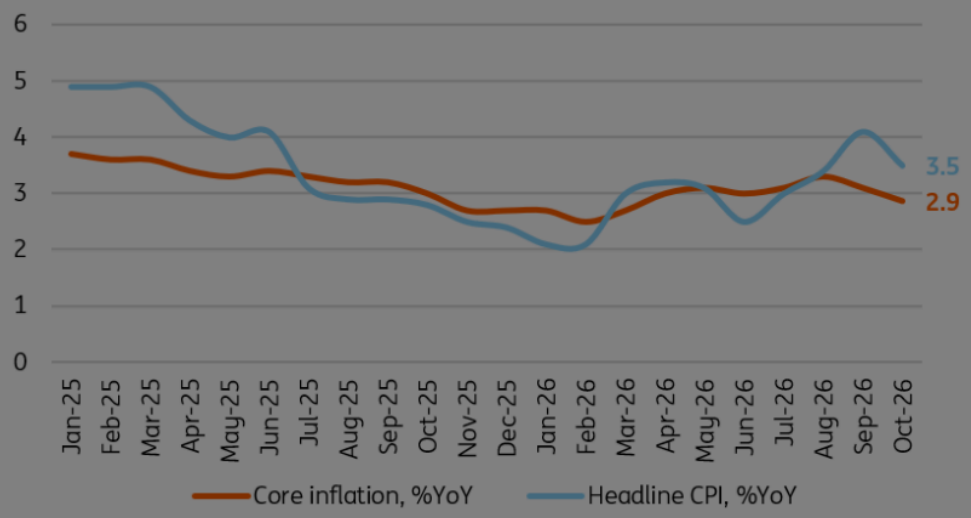
second-round effects, ie, wage increases in response to inflation, remains low.

Both headline CPI and core inflation down in October

CPI and core inflation, %YoY



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The National Bank of Poland's (NBP) November inflation projection points to a high inflation path in 2027, prompting a significant hawkish shift in the Monetary Policy Council (MPC) rhetoric. Recent comments from Council members indicate a willingness to raise interest rates in early 2027. This is consistent with our baseline monetary policy scenario, which assumes a 50bp increase in the cost of money in 1Q27.

The NBP remains more dovish than other central banks in the region and core market policymakers, including the Fed and ECB, and in our view could postpone rate hikes until early 2027. Data on the October CPI composition confirm that there is still no evidence of second-round effects. It's worth noting that monetary policy was a

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NBP rates GDP CPI

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September data shows that Turkey's large current account surplus is attributable to a moderation in domestic demand and lower net gold imports. Its capital account, on the other hand, saw outflows amid volatility in investment funds

Muhammet Mercan

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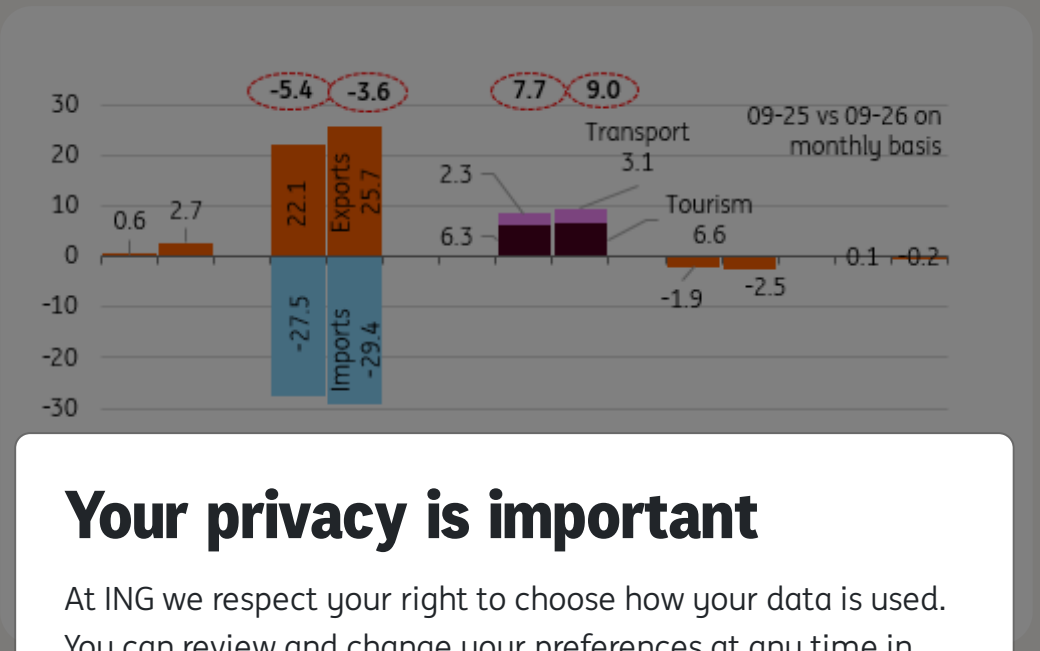
Turkey's surplus widened in September to US$2.7bn, almost in line with consensus. This is versus a mere $0.6bn in the same month last year, narrowing the 12-month rolling current account deficit to $39.2bn – approximately 2.4% of GDP – from $41.3bn a month ago.

A closer look at the monthly figures shows that the growing surplus was primarily due to a lower trade gap, which improved from -$5.4bn to -$3.6bn on the back of a) an increase in core trade surplus and b) gold trade turning positive, despite a deterioration in energy trade balance as the US-Iran war has pushed energy prices up. Higher services income, more than offsetting deterioration in

the primary and secondary income balances, also contributed to the current account's rising surplus.

Breakdown of the current account (US$bn)



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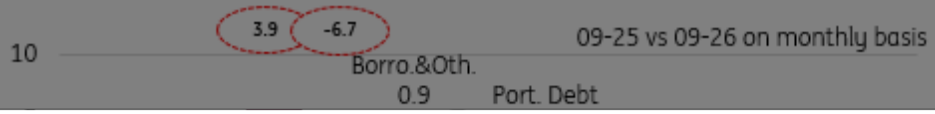
the weakness in August. With slight inflows from net errors and omissions of $1.0bn, and considering the current account balance, official reserves depleted by $10.0bn.

Further analysis reveals that resident activity led to outflows totalling $7.0bn, primarily from continuing acquisition of portfolio assets and higher deposits abroad. Non-residents reduced their Turkey exposure by cutting their investments in funds by $5.8bn following the local fund shock and deposits held at local banks by $1.1bn.

On the flip side, net borrowing has continued with another $1.7bn increase in September. In the breakdown of net borrowing,

corporates secured higher long-term financing, while banks were net payers both in the short and long term. This translates into long-term debt rollover ratios at 240% for corporations and 88% for banks on a monthly basis, compared to 216% and 144%, respectively, on a 12-month rolling basis. On the corporate side, an acceleration in rollover rates since mid-2025 towards 200% levels and above is attracting attention.

Breakdown of financing (US$bn)



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almost tripled at $17.4bn, but remained well below the cumulative current account deficit.

In addition, outflows via net errors and omissions remained elevated, totalling -$10.4 bn vs $1.9bn in inflows in 2025. Taken together with the widening current account deficit, which grew from -$19.1bn to -$28bn, official reserves were eroded by $20.9bn vs a $11.5bn fall recorded a year earlier.

Overall, the September data shows that Turkey's large surplus is attributable to a moderation in domestic demand and lower net gold imports, which helped offset the widening

net energy trade deficit driven by higher energy prices. Preliminary customs data from the Ministry of Trade points to a higher surplus in the October current account and a further improvement in the 12-month rolling deficit.

In the months ahead, the trajectory of the current account balance is expected to be influenced by a mix of external risks alongside domestic demand conditions. Here, any signs of a potential US-Iran agreement being reached would support easing pressure on energy prices.

Turkey | Net errors & omissions | Current Account

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Hot US inflation and the prospect of a more aggressive response from the Fed are the themes dominating FX markets currently. Another dose of firm US PPI today and some more hawkish Fed rhetoric are set to keep the dollar very supported into next week

Chris Turner, Frantisek Taborsky and Francesco Pesole

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Please see ING's FX Outlook 2027: Fat tails, slim ranges for insights into key themes next year.

USD: Do not stand in the way of the dollar

This week has seen a powerful, macro-driven rally in the dollar. Short-dated US yields are close to 40bp higher since Tuesday morning, when the Federal Reserve's Christopher Waller mused over the need for a 50bp hike in December. The market has since

adopted the view that back-to-back December and January hikes look likely, while extending the full Fed adjustment from here to a full 85bp of tightening. That's beginning to look a lot more like a cycle than the kind of modest adjustment we recently presented in our house baseline view. Notably, a few Fed members are starting to describe conditions more as a demand than a supply shock.

It is hard to see what is going to change this hawkish Fed/dollar-positive mindset in the next few weeks. The Fed centrists might try to emphasise the need for a gradual adjustment in policy, but it is probably only a big US tech sell-off that can put a dent in short-dated US yields now.

In terms of the FX reaction, the low-yielding Swiss franc and the yen h
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preferred PCE inflation data – the next release of which is on 25 November. Were that core PCE to rise 0.3% month-on-month for the third month in a row, expectations of a 50bp December hike would grow.

DXY has broken to a new high for the year and looks like it can push on to the next resistance level at 104.60. That's about a 1.5% advance from current levels and would be consistent with EUR/USD trading around 1.0880.

Chris Turner

EUR: ECB struggles to outhawk the Fed

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European Central Bank rhetoric firmly points to the need for a rate hike in December. The problem for EUR/USD is that the market sees the potential for a prolonged tightening cycle as more credible in the US than in the eurozone. You don't hear many ECB speakers talking of a demand shock in Europe. Short-dated EUR/USD swap differentials have moved out to the widest levels of the year and are clearly weighing on the pair.

Given the run of expected US inflation data over the coming weeks, we struggle to see what can take the pressure off EUR/USD. A break below 1.10 is not a given, but that level is certainly at risk into year-end. EUR/USD bulls will have to be hoping for either an AI crash, the ECB sounding far more hawkish or perhaps some major g

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slowdown. Poland will also release its final inflation reading for October, expected at 3.5%, and on Monday, we'll receive the core inflation figure, which we estimate has slowed to 2.8%.

In Turkey, inflation expectations for November will be published. Yesterday, the Central Bank of Turkey revised its inflation forecast for next year from 15% to 21%, bringing it closer to the current market expectation of 23% but also opening the door to a December rate cut. The Czech National Bank will release the minutes from last week's meeting, during which it raised interest rates by 25bp to 4.00%. However, the 4-3 vote split sent a dovish

signal, and today we will learn how individual members voted and see the details of the discussion.

The CEE market remains under pressure. Yesterday's surge in energy prices and new lows in the EUR/USD pair are pushing regional FX to new lows. In line with our bearish bias, we believe this is far from over. EUR/HUF could test 366, but we believe the 368-370 range remains an area for new sellers to enter, effectively capping the pair. Meanwhile, the National Bank of Hungary is expected to take a firm stance next week and avoid rushing into rate cuts despite low inflation, which could support the forint, given that one to two rate cuts are currently priced in.

EUR/CZK reached new local highs yesterday, nearing 24.400. We b
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has started to propose some fiscal consolidation for the 2027 budget, and we presume more is coming.

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While Brazil's fiscal story is vulnerable, its monetary story is supportive for the real. High real interest rates and an independent central bank make the Brazilian real an expensive sell. We look for a recovery in 2027. Please see the Latam section in our 2027 FX Outlook for more.

Chris Turner

FX

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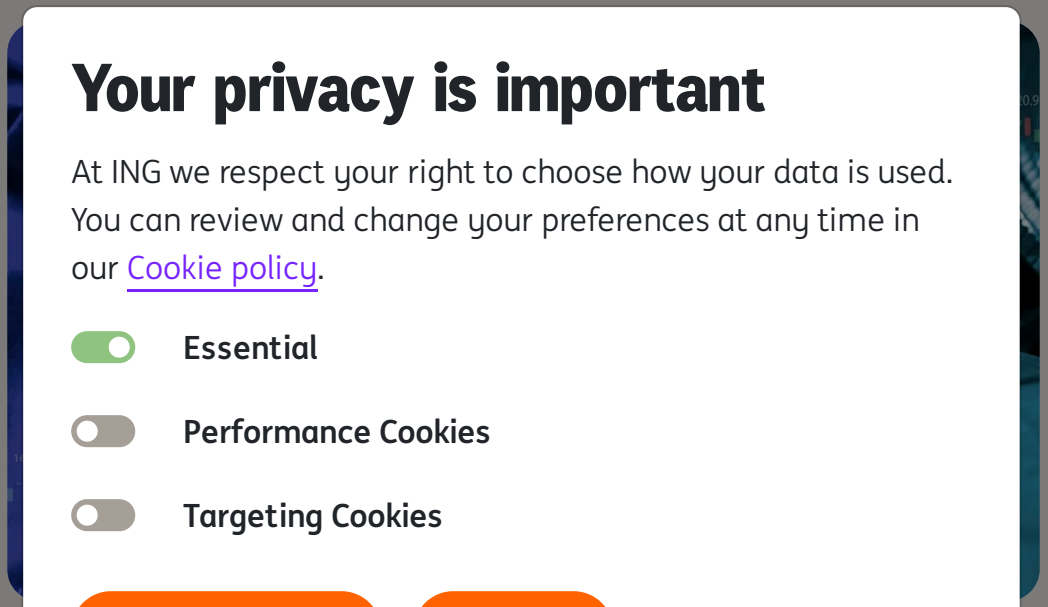
Rates are back under upward pressure, reviving our tactical bearish view. AI risks have become more idiosyncratic, but upcoming catalysts could quickly reverse the move. France remains under pressure, while Italy could see a rating upgrade

Michiel Tukker and Benjamin Schroeder



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Price action suggests global rates are happy to push higher again, and we therefore return to our tactical bearish call. Risk sentiment is improving, with AI worries turning more idiosyncratic, focused mostly on NVIDIA's leadership questions. Amid more stable risk conditions, but without strong catalysts, the 2yr USD swap jumped up by some 12bp on the day. Of course, one could argue oil ticked higher and jobless numbers were robust, but nothing that would warrant such a strong reaction by itself.

Buying the dip seems to be the recurring theme in equity markets, but we warn of some key event risks ahead. Next week, we have

both Anthropic's IPO pricing and NVIDIA announcing third-quarter results. These two events are seen as important bellwethers for the broader future of AI and can also shake the US macro outlook. From the past weeks, we've seen how any disappointments can quickly push US rates lower.

Europe is relatively more shielded from AI, but global risk sentiment can be quick to pull down longer rates in particular. We argue that the front end of the EUR and GBP curves should remain focused on inflation, but the belly of the curve is more exposed to sentiment. The euro swap curve still paints a very optimistic view of the ECB's terminal rate above 3%, which in our eyes can only hold if the growth outlook improves materially. A global setback in AI would p
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150bp. There has been little news on the situation in France, but it is worth noting that any hopes of ECB President Christine Lagarde pulling France out of its political deadlock were dampened after the first polls this week showed she would get only 14% of the first-round votes, similar to other centrist candidates. This would still see election frontrunner Marine Le Pen and left-wing rival Jean-Luc Mélenchon advance to the second round, leaving one of the tail risk scenarios on the table.

Italy, meanwhile, will face a scheduled review date by S&P, which currently rates Italy BBB+ with a positive outlook. That outlook has been in place since January, which would make a first rating upgrade back to single-A a possibility. Considering the more

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uncertain political and fiscal outlook recently, a postponement would not come as a surprise.

Friday's events and market view

The European session will see a busy slate of ECB speakers, including Isabel Schnabel. Data comes in the form of final October inflation readings for France and Spain, as well as the second reading for Q3 eurozone GDP growth. The US will watch the October PPIs and a continued busy slate of Fed speakers, including Susan Collins, Lorie Logan and Michelle Bowman. After markets close, eyes will turn to the scheduled

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purchase or sell any financial instrument.

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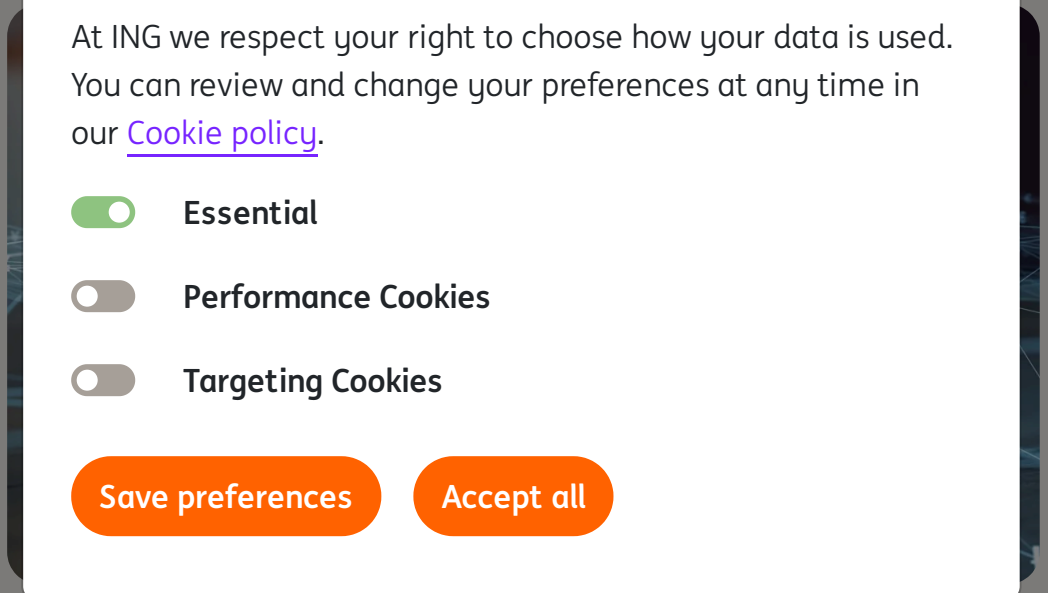
We expect 2027 to be a low-volatility year in FX, with central banks and rate differentials firmly in the driving seat. We see a dollar decline resuming from 2Q27, while diverging monetary, growth and external dynamics create opportunities across regions

Chris Turner, Francesco Pesole, Frantisek Taborsky and Deepali B



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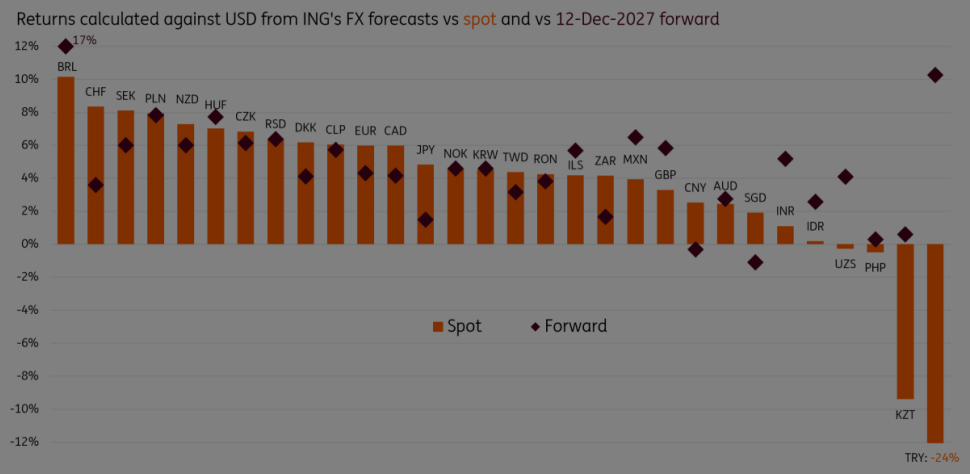
Winners and losers in FX next year



Source: ING, Refinitiv

1 Not a breakout year for volatility

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liquidity to the FX market and the greater use of FX pricing algos on the buy-side, limiting the market fallout when trading conditions thin.

Yet market volatility has not vanished. There are plenty of risks out there, which we highlight in a dedicated section below. The same applies for market liquidity. If the shock is big enough – such as Liberation Day tariffs in 2025 or the start of the Iran war this year – market depth can fall away quickly. The prospect of fat tails, low-probability, high-impact event risks, is certainly a threat to global FX markets. But the bar for these risks to raise volatility is a high one.

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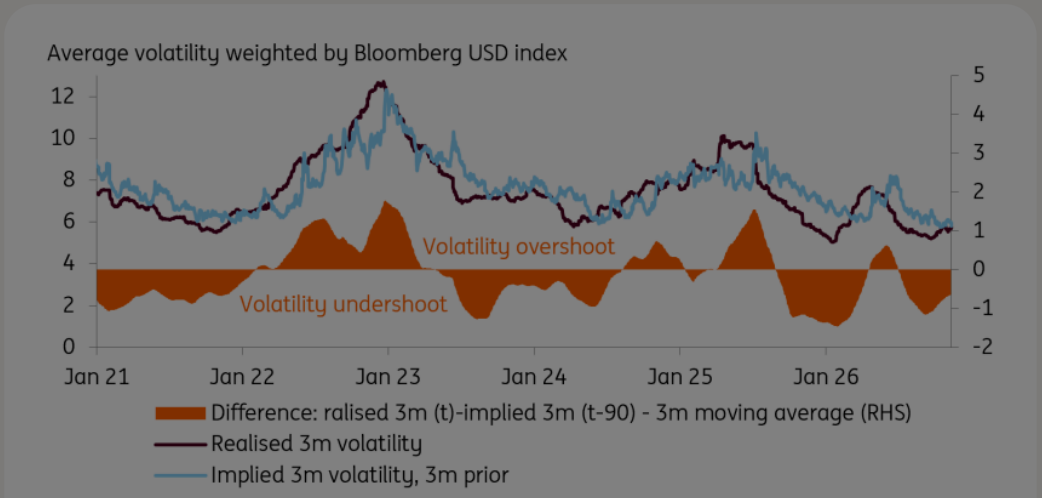
Volatility has mostly undershot expectations in 2026



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more important distinction is between economies where the shock can generate more lasting inflation and those where it cannot. On top of that, the central banks' FX-specific approach will be key. Remember how, in 2022-2024, the fear of amplified inflation effects from a weak currency prompted tighter fiscal policies among some often dovish-leaning central banks.

Here are our top picks among G10 currencies for next year:

1. **JPY – the best risk/reward.** We don't have a huge outperformance of the yen in our forecasts, especially relative to the euro. But that's primarily due to our assumption that the euro will drop its French-related risk premium by end-2028, and

a carry-favourable environment can somewhat contain yen gains. However, we think the yen offers the best risk-reward profile in G10. Alongside being sharply undervalued based on long-term fundamentals, it faces limited risks of dovish repricing as the Bank of Japan's tightening cycle predated the Iran war. It incidentally has strong safe-haven value against some fat-tail risks (AI bust, fiscal dominance, dollar debasement, some geopolitical events) and stands to be a beneficiary of an ultimate capitulation in USD rates. Downside risks are, crucially, limited by a coordinated Tokyo-Washington effort to prevent sharp USD/JPY rallies.

2. **CHF – SNB turning pro-franc**. If 2027 is the year when global interest rates peak and then reverse, the opportunity cost of

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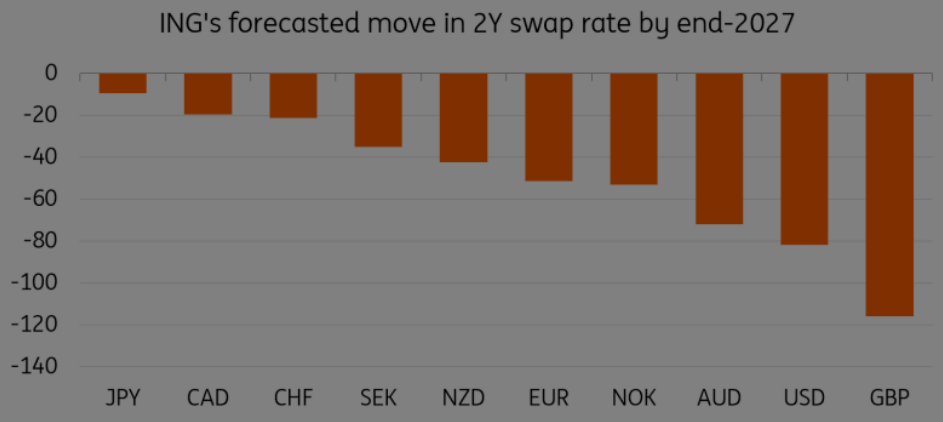
Australian dollar to play a decline in global rates, as the Reserve Bank of Australia may already shift to cuts in the third quarter of 2027.

Sterling, dollar and AUD face largest dovish repricing risk



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3 Dollar decline is delayed, not cancelled

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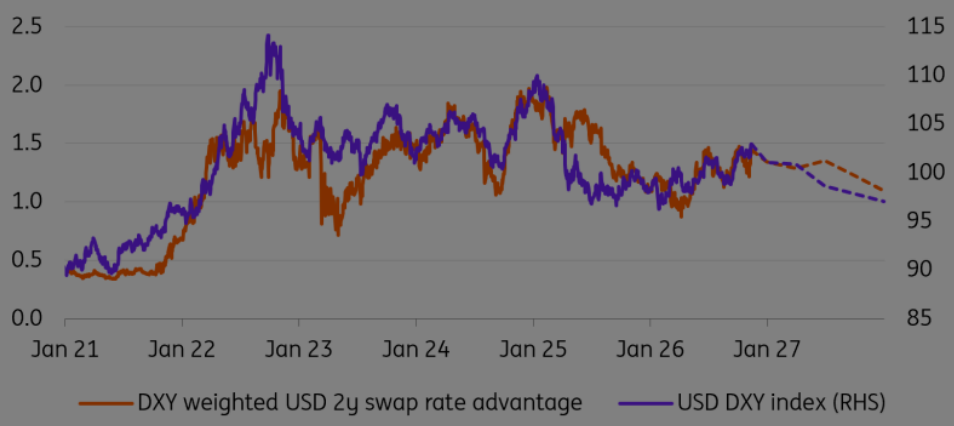
year's second half.

We expect the dollar to weaken alongside that repricing, with greater conviction in the downside story later in the year. The Fed should remain cautious about turning dovish before clearer evidence of disinflation emerges, while elevated funding rates will continue to make it expensive to sell or hedge dollars until some easing is priced in. And because we also hold dovish views on other central banks, we don't expect narrower USD short-term rate differentials to trigger a particularly large dollar downturn. We target a roughly 5% decline in DXY to 97 by end-2027.

Front-end rates to drive DXY lower



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We think markets will be wary of jumping into a meaningful OAT relief rally before the presidential election (18 April-2 May) and likely parliamentary elections in the summer are out of the way. We are not forecasting another big selloff in French bonds but think 125-150bp will be the norm for the OAT-Bund 10yr spread into 2Q27, before some tightening towards 100bp in 2H27.

The euro has been embedding a French risk premium since early October, meaning a further material deterioration in sentiment would probably be needed to generate additional idiosyncratic pressure. Historically, the link between euro-area sovereign spreads

and FX has been patchy, with stress episodes often requiring a steady flow of negative news to sustain the correlation.

We therefore expect French political risk to keep euro sentiment somewhat subdued into the elections and a subsequent bond-market relief rally to offer some support, but not to displace central bank expectations as the main driver of EUR crosses next year. In other words, we really need to see a significant deterioration in the French situation, prompting ECB bond market intervention, for EUR/USD to sustain a move below 1.10 through 2027.

EUR already embeds French risk premium

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paths for local FX

The Central Europe region is entering a year of divergence. The Czech Republic, Poland and Hungary face similar risks from energy prices, geopolitics and volatile global markets, but increasingly different monetary, fiscal and growth dynamics mean CEE3 is becoming less of a single FX trade.

In the Czech Republic, the Czech National Bank has already delivered two hikes, taking rates to 4%, and remains the most hawkish central bank in the region. If inflation proves more persistent, further tightening remains possible. Positive nominal and real rate differentials and high credibility should therefore keep the koruna relatively defensive during periods of global uncertainty,

while any easing of external risks could put it back on an appreciation path.

Poland is moving differently. The National Bank of Poland is still waiting to deliver its first hike, leaving the zloty with less monetary support for now. Strong growth and sizeable EU inflows remain important anchors, but narrower rate differentials, loose fiscal policy and rising political and rating risks have weakened PLN's relative appeal. We therefore see the zloty as more vulnerable to higher global yields, energy prices and geopolitical risks.

Hungary is heading in the opposite direction, with the National Bank of Hungary having cut rates in recent months. We expect another cut only later next year, provided global conditions allow it. A

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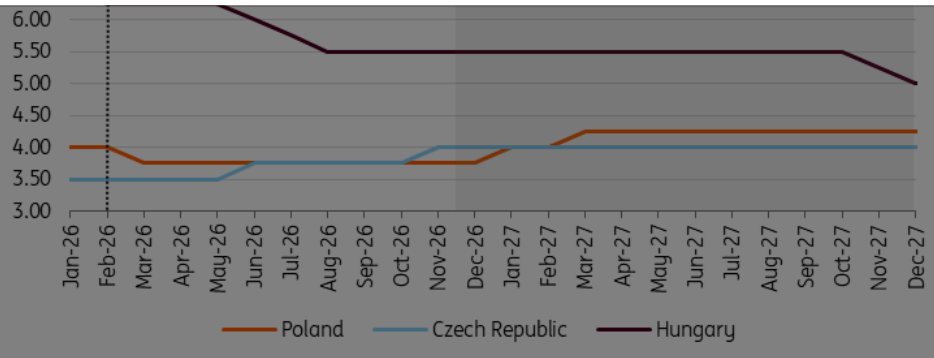

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6 Asia: Rotation underway, tech currencies should lead

A softer dollar should provide a broad tailwind for Asian FX, particularly in the second half of 2027, but we expect performance to remain highly differentiated. We favour the Korean won and Taiwanese dollar, expect further renminbi appreciation – albeit with greater two-way volatility – and see continued downside risks for the Indonesian rupiah and Philippine peso. We are more constructive on the Indian rupee.

Current account strength should continue to favour the tech currencies. Although the AI cycle may be plateauing, activity remains high and strong export revenues should support the KRW and TWD. Exporter FX conversion and measures encouraging the repatriation of overseas assets should provide additional support.

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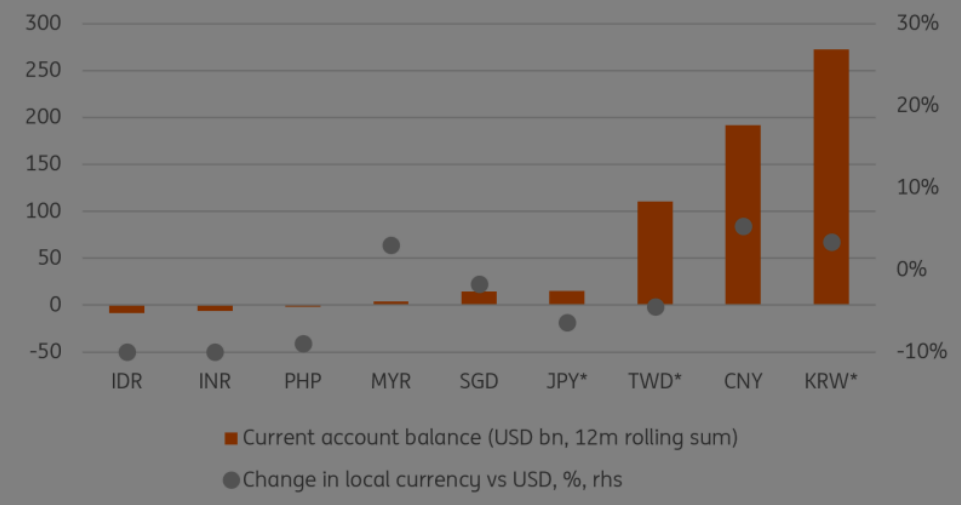
headwinds for the IDR, while weaker FDI inflows leave the PHP vulnerable. By contrast, we favour the INR, where resilient growth, supply-chain diversification and continued FDI should provide support, while leaving India less exposed to swings in the AI cycle.

Asia: change in current account balance and local currency (2Q26 vs 2Q25)



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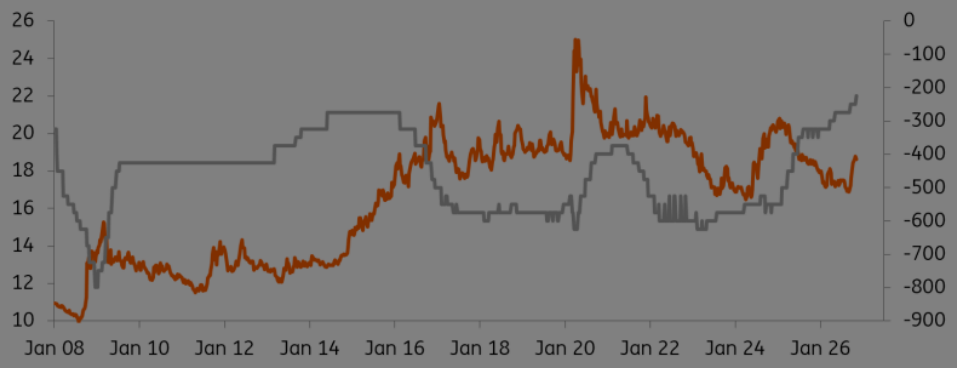
a weaker currency than most other central banks.

In addition, Banxico has now cut the peso's policy rate protection to just 225bp over the Fed. That is a record low and leaves the peso vulnerable to any deterioration in the external environment. We see the peso as a relative underperformer in 2027.

Further south, the Brazilian real has been causing a lot of pain to investors recently. The fear is that President Luiz Inácio Lula da Silva's pre-election giveaways will come home to roost next year. His choice of Finance Minister is going to be important, as will any progress on a 2027 budget. Preventing a bigger sell-off in the real, however, is the independent central bank running very high real

interest rates. It's a courageous call, but we think the real can recover a lot of its recent losses and outperform Mexico's peso.

MXN and US-Mexico policy rate gap



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Low volatility masks a wide range of tail risks for 2027. AI stress, another inflation shock, fiscal concerns, elections and geopolitical escalation could all trigger sharp FX moves, while financial repression and a carry unwind add further asymmetric risks

Chris Turner and Francesco Pesole

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1 AI bust: expect unorthodox FX reactions

The resilience of the AI trade in equities has been tested of late, and a more decisive unwind could become an overarching FX driver next year. We think the impact of a major US tech selloff on currencies would depend on how far it spreads to broader US and global risk assets, whether it heavily threatens financial stability, and how it impacts the inflation backdrop. Crucially, the initial FX reaction may look very different from the medium-term move.

The dollar still retains decent safe-haven appeal by our estimates, having recovered from the 2025 “sell America” period. Yet episodes in 2026 where AI concerns hit tech stocks without materially

spilling into broader equities were accompanied by some USD underperformance. We think contained US tech-specific weakness would continue to weigh moderately on the dollar next year, with low-yielding haven currencies such as the yen, Swiss franc and euro benefiting the most.

The dynamics would be different if tech losses triggered a broader selloff. In that scenario, we would expect an initial safe-haven boost to the dollar, followed by a larger depreciation as the shock deepens and the Federal Reserve response comes into focus. The greater the threat to financial stability, the stronger the case for the Fed to provide liquidity and prevent a global financial crisis-style credit crunch, ultimately weighing on the dollar. Over the medium t
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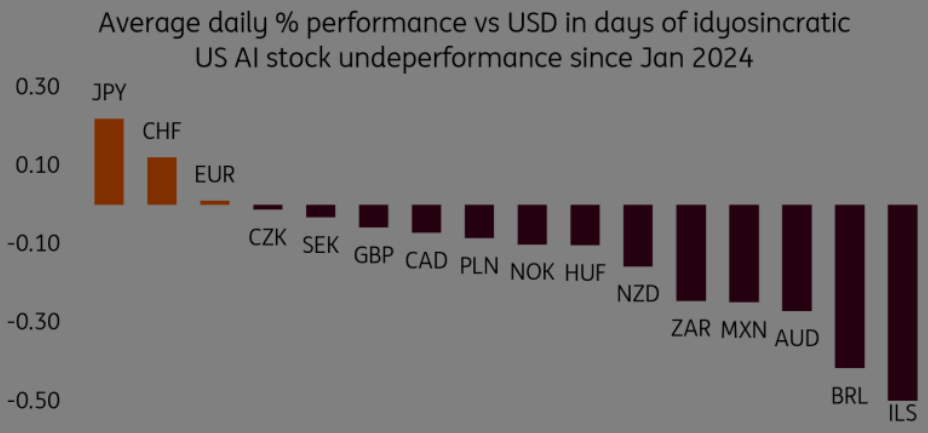
Exposure to an AI bust among selected currencies



Asian currencies have been excluded due to time-zone mismatch

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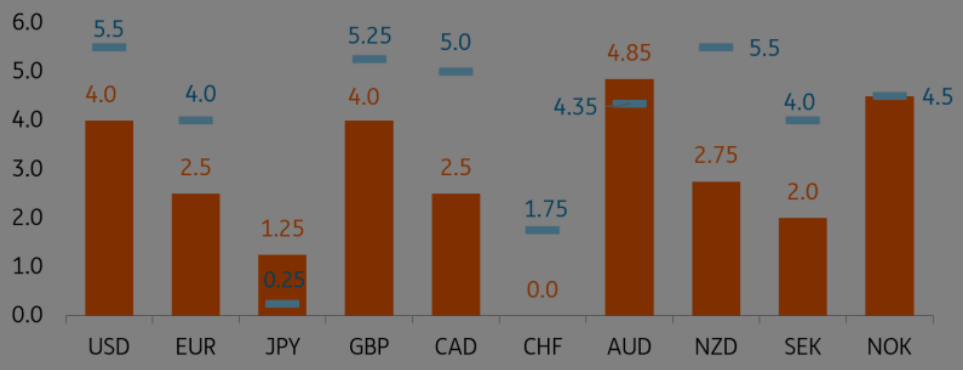
low-yielders have tended to suffer most when Fed tightening drives global yields higher, but we would be wary of applying that playbook mechanically in 2027. The relative central bank response should be the key differentiator, with those that have tightened less so far retaining more ammunition to defend their currencies.

We still see the Norwegian krone and Swedish krona as particularly vulnerable given their low liquidity and high beta, while AUD could be a standout loser given the Reserve Bank of Australia's limited room to tighten further amid domestic vulnerabilities. EUR and JPY, by contrast, could prove more resilient than in 2022, provided the

European Central Bank and Bank of Japan respond swiftly to renewed inflation pressures.

Current central bank rates vs latest peak



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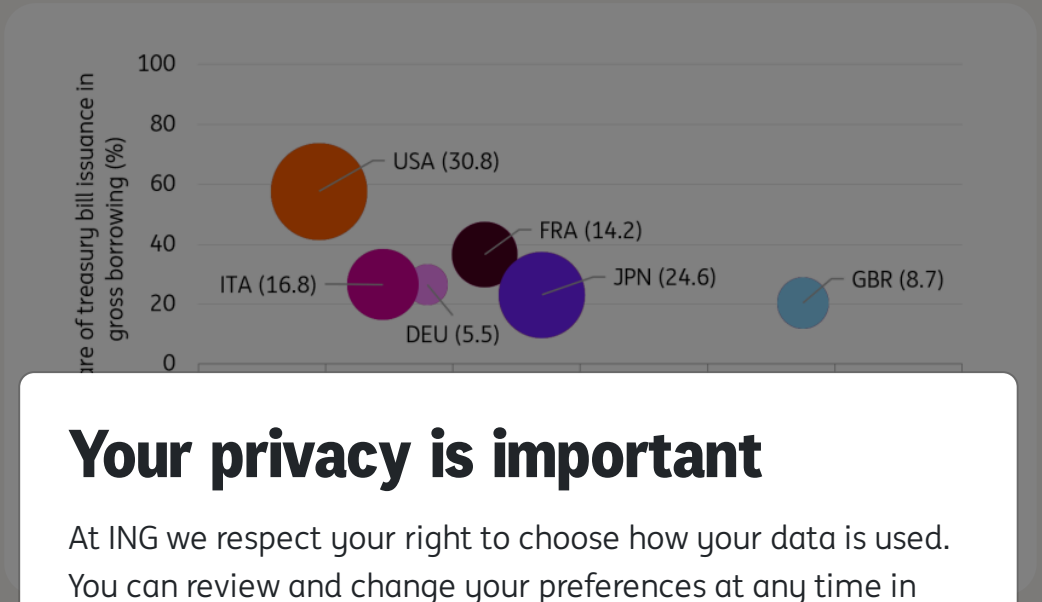
French spreads contained in 2027. Even if French politicians fail to address investor concerns, the ECB's Transmission Protection Instrument (TPI) backstop can prevent broader contagion.

What about the US? One area of concern is that near 60% of US Treasury issuance is in the form of short-term bill issuance, as well as its large refinancing requirements. What happens if inflation spikes and the US Treasury has to pay ever-higher refinancing rates? Equally, what happens if White House policy again upends the dollar-US Treasury safe-haven correlation as was the case in March/April 2025? As we saw at the time, the breakdown in these correlations can trigger some of the most

extreme dollar selling. And the fact that investors are again running low FX hedge ratios on US assets warns of a similar setup to early 2025.

Debt financing overview



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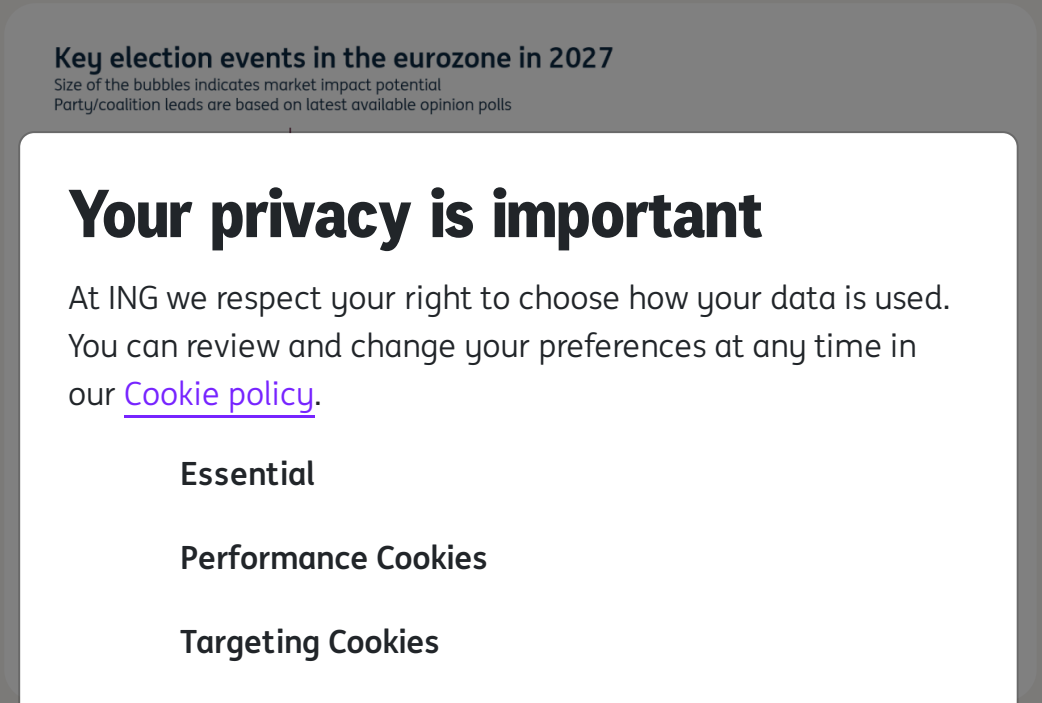
likely to matter most. The biggest downside for the euro would come from a surprise victory by Jean-Luc Mélenchon in the April-May presidential election or a lack of a clear majority in potential parliamentary elections over the summer. To a lesser extent, a Marine Le Pen victory could also weigh on sentiment if early signals point to a more confrontational approach towards the EU than already expected.

In Germany, several state elections will be watched for signs of greater government instability or further gains by the Eurosceptic Alternative for Germany (AfD). Markets will focus particularly on the implications for Germany's reform agenda, and by extension the growth outlook.

Italian elections rank third among our political risks. Although scheduled by December, a May-June vote looks increasingly likely. Prime Minister Giorgia Meloni remains favoured to secure another mandate, potentially backed by a broader coalition. Italian asset resilience has relied on Meloni's fiscal discipline, so a surprise victory by the centre-left bloc would, in our view, pose material downside risks to BTPs and the euro.

A busy election calendar for next year



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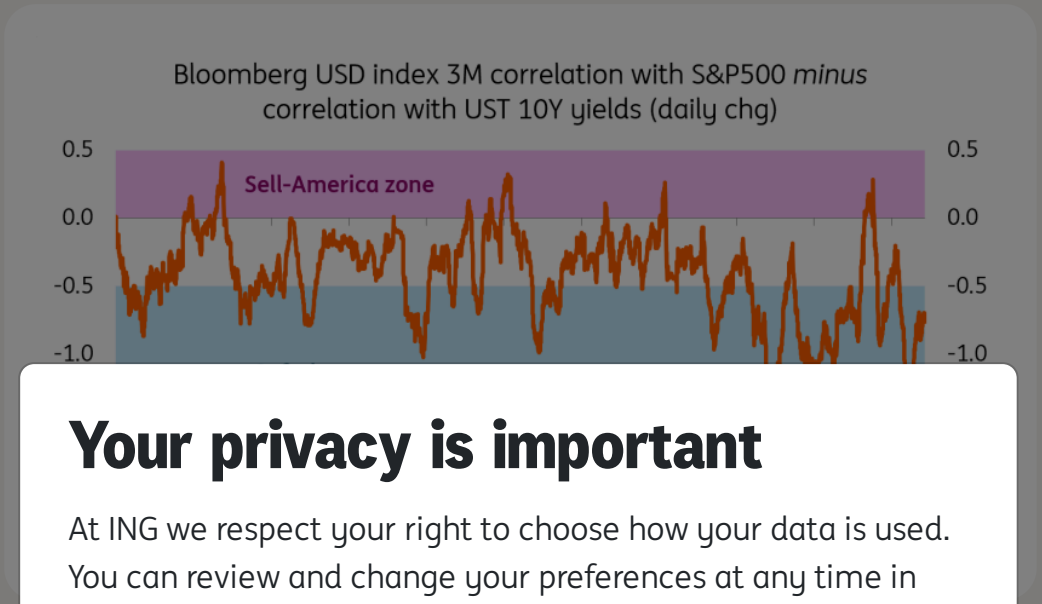
captured Fed led to pressure on the dollar against the Swiss franc, while bitcoin and gold went bid. We had a flash of that trade again this August, when Scott Bessent's extension of longer-dated US Treasury buybacks unnerved the bond market and USD/CHF was hit hard.

Were US Treasury yields to rise sharply next year, the theme of 'financial repression' could re-emerge. Here the US Treasury could try to contain Treasury yields by providing regulatory incentives to banks to hold more Treasuries or put pressure on the Fed to intervene. Any suggestion that the Treasury would not be allowing

Treasury yields to fully compensate investors for inflation or fiscal risk would see the dollar getting slammed.

USD is an efficient safe-haven, but things can change



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energy sector.

When looking at the popular funding currencies of the yen, we doubt slightly more aggressive BoJ tightening would be enough to trigger a big short squeeze in the yen. And speculators are actually running net long yen positions today as opposed to the large short yen positions held in summer 2024 – the last time we had a major adjustment in yen positioning.

The biggest driver of a carry trade unwind would probably come through a financial shock. Were any unwind in the AI trade to uncover stresses or imbalances in, for example, the private credit area and lead to financial distress, volatility would surge and value-

at-risk considerations could prompt indiscriminate deleveraging. We haven't really seen much financial distress since the Silicon Valley Bank crisis of 2023.

A big carry trade unwind would be yen and Swiss franc positive, while negative for the high-yielding activity currencies.

7 Geopolitical blowout: more than one front to watch

There are three major fronts to watch in terms of geopolitical tail risks next year. All of these would see the dollar as the big outperformer.

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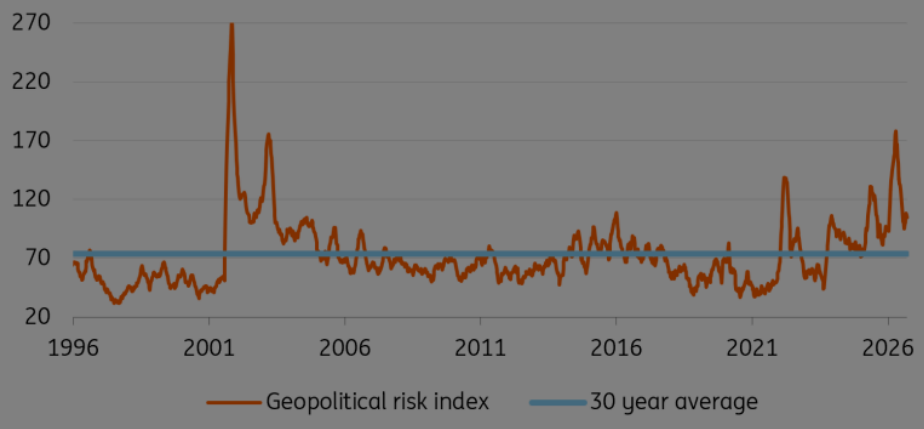
A sharp escalation in geopolitical tensions in East Asia would put Asian currencies under heavy pressure, with AUD and NZD also vulnerable as liquid proxies. European currencies would be relatively more insulated from the initial shock. Regional risks could also include US-China trade and technology tensions.

Are geopolitical risks the new normal?



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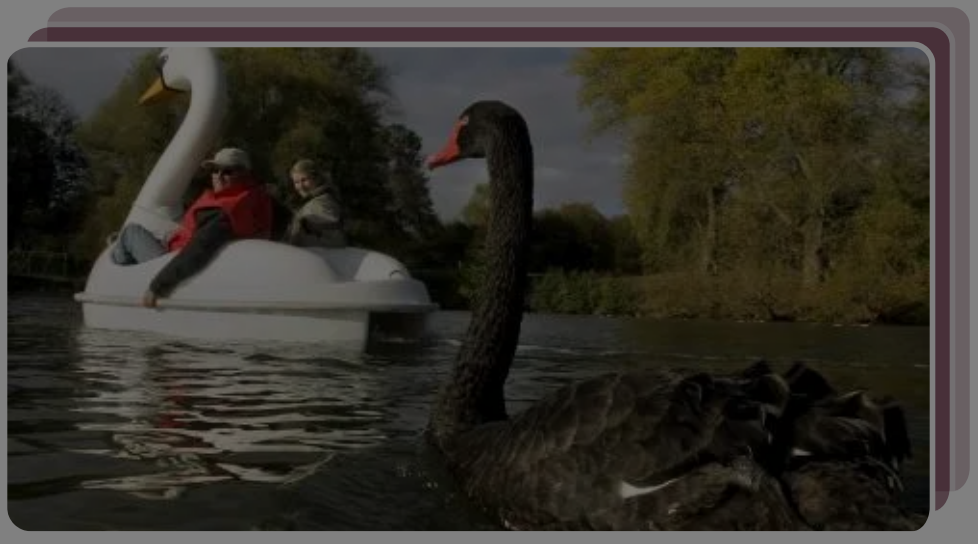

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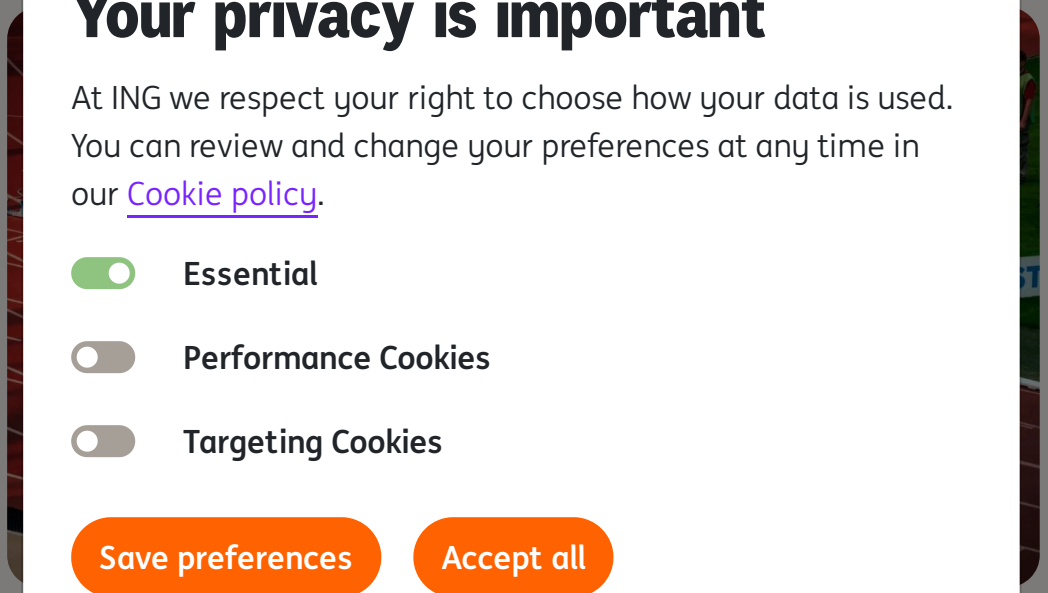
Join Chris Turner, ING's Global Head of Markets, and FX Strategist Francesco Pesole on 16 November as they reveal their G10 FX winners and losers for 2027 and explore the key themes driving currency markets in the year ahead. Sign up here

Chris Turner and Francesco Pesole



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Solid US growth, above-target inflation and a hawkish Fed are keeping the dollar near the highs of the year. And despite an abundance of possible risks, FX volatility remains remarkably low. Heading into 2027, the big questions are how much further the Fed has to hike, how much more the dollar has to rally, and whether FX volatility can stay low.

Join Chris Turner (Global Head of Markets and Regional Head of Research UK & CEE) and Francesco Pesole (FX Strategist) to explore these themes.

You'll learn:

- The G10 FX winners and losers

- ING's views on the main themes driving core FX trends in 2027
- EUR/USD scenario analysis
- The factors weighing on FX volatility and the outlook for next year

Details

Date: Monday, 16 November

Time: 1400 GMT/1500 CET/0900 ET

The webinar will last 30 minutes, including a Q&A session at the end.

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Join ING's Dmitry Dolgin, James Wilson and Egor Fedorov on Thursday 19 November as they discuss the outlook for the Caucasus and Central Asia. The discussion will span Armenia, Azerbaijan, Kazakhstan, Kyrgyzstan, newly added to our coverage, and Uzbekistan, bringing together macro, sovereign and corporate credit perspectives. Sign up here

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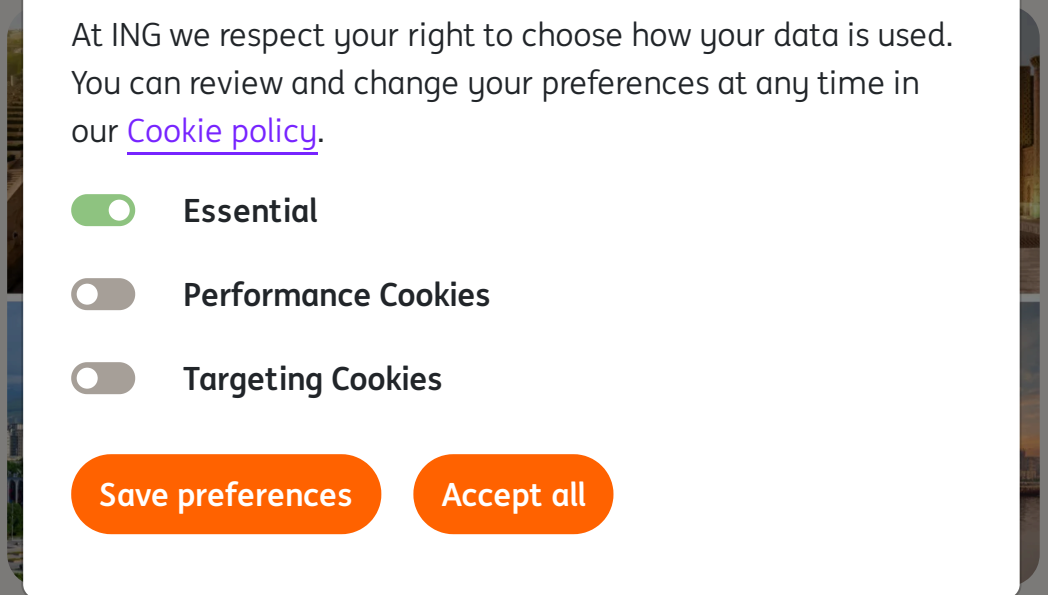

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The Caucasus and Central Asia have emerged from recent global shocks with stronger sovereign balance sheets, improving credit ratings and growing international investor interest. But can that resilience continue into 2027, and how is the investment landscape changing as the region becomes more accessible to global capital?

Join ING's Dmitry Dolgin, Chief Economist, CCA and Russia, James Wilson, Sovereign Debt Strategist, and Egor Fedorov, Senior Credit Analyst, as they discuss the macro, sovereign debt and credit outlook for the region. Sign up here

We'll explore:

- After several years of sovereign rating improvements, how much further can the region's credit convergence go, and how much of the good news is already reflected in market valuations?
- What could deeper local markets, growing international participation and a broader issuance pipeline mean for the region's market access?
- What are the key corporate credit stories to watch across the region?
- Can CCA economies and currencies remain resilient in 2027 against a challenging global backdrop?

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Given the level of uncertainty in energy markets this year and with little sign of a change going into next year, any call on energy markets for 2027 is a low-conviction call. But here are our 3 calls for energy markets for 2027

Warren Patterson

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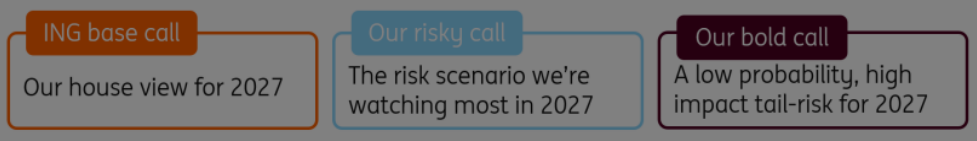
How to read our three calls for 2027



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ING's base call: Brent to average $77/bbl next year

Oil markets have been on a roller coaster this year given events in the Middle East. However, we are going into year-end with oil flows from the region near pre-war levels despite the lack of a deal between the US and Iran. While oil flows are normalising, the way oil is coming out of the region is anything but normal, which is reflected in the surge in tanker shipping rates, given the very inefficient oil flows.

Our base case assumes occasional flare-ups between the US and Iran, meaning a full normalisation of Persian Gulf supplies remains some way off and the oil market is likely to retain a degree of risk premium. However, provided there are no significant or prolonged disruptions, we expect the market

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The most likely candidate to leave OPEC is Venezuela, with the US's growing influence over the Venezuelan oil industry following the capture and arrest of President Maduro at the start of 2026. But we believe that some Persian Gulf producers may also question their membership, particularly if disagreements emerge over the capacity numbers used by the group to set production targets. Iraq has already made noise around production targets, and following the exit of the UAE, some members may be looking at them enviously, with the UAE pumping record volumes of crude since leaving the bloc.

Our bold call: TTF to trade sub-€40/MWh before the end of next year

European gas prices have strengthened significantly in 2026. But what goes up must come down, and we believe prices could fall sharply next year. There are clearly plenty of assumptions here, most importantly a normalisation of Persian Gulf LNG flows in early 2027. If that happens, we believe TTF could trade below €40/MWh by end-2027.

On the demand side, higher prices are already driving some industrial demand destruction, while we are deep in the gas-to-coal switching range. Furthermore, El Niño could bring milder weather to

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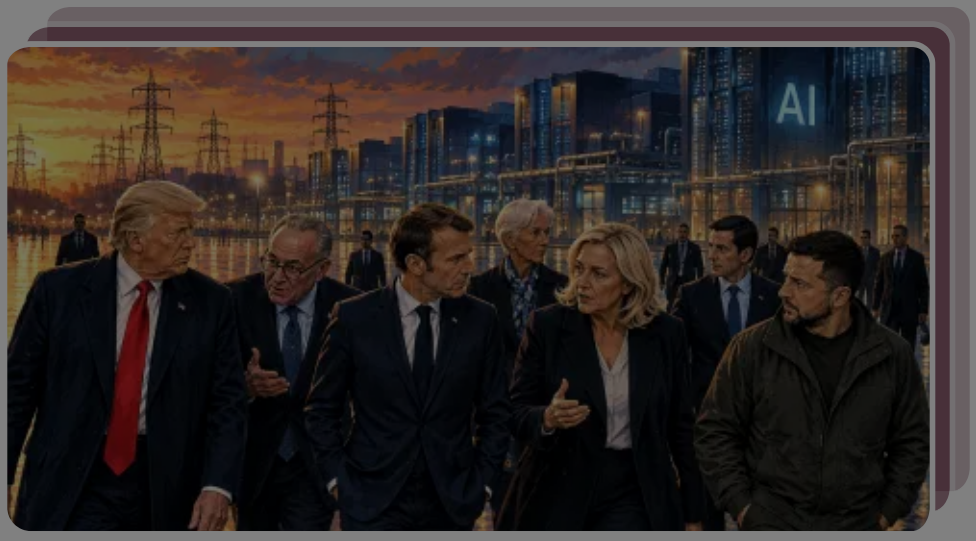

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Global trade will remain resilient in 2027, but the focus will shift from tariffs to ownership, technology and investment. While not our base case, an escalation in an EU-China trade war would rank among the most significant risks to global trade

Inga Fechner and Carsten Brzeski

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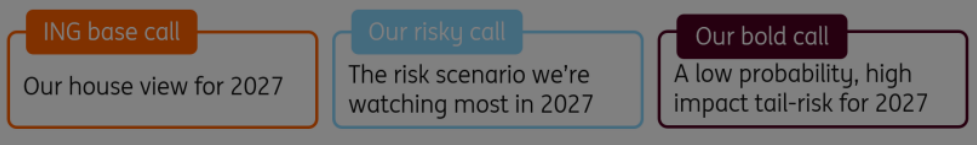

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ING's base call: Trade survives politics

Global goods trade continues to weather geopolitical shocks. Over the past few years, trade has proved far more resilient than global headlines suggest. We expect that resilience to continue into 2027. Disruptions in global shipping, shifting tariff regimes and recurring geopolitical tensions have repeatedly altered trade routes without derailing trade itself.

Strong demand for AI-related investment and infrastructure should continue to support trade flows, particularly across Asia, while selective US-China decoupling is likely to benefit third countries that attract production and investment. For 2027, we expect global goods trade to remain positive, expanding about 3% year-on-year. In short, trade survives

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centre once supported for bringing local investment and jobs is now treated as a national-security risk. Companies that once navigated geopolitical tensions through diversification find themselves forced to choose sides. The question is no longer who exports the most, but who controls the productive capacity on which economies depend. Trade would continue, but the corporate structures that have kept it moving would start to fracture as governments alter trade flows. This could potentially cause global goods trade growth to stall or even contract in 2027.

Our bold call: EU-China trade war

The EU and China enter an outright trade conflict. Europe abandons its largely open-market approach and increasingly applies reciprocity principles to market access and investment. Chinese firms investing in strategic sectors face mandatory 50:50 joint ventures, local ownership requirements and growing restrictions on acquisitions.

At the same time, the EU imposes broad tariffs on Chinese imports, with rates reaching 50% in politically sensitive sectors such as vehicles, chemicals, machinery and electronics. China retaliates with measures of similar scale.

The consequences are significant. China accounts for roughly 15% of global goods trade, while the EU accounts for around 13.5%

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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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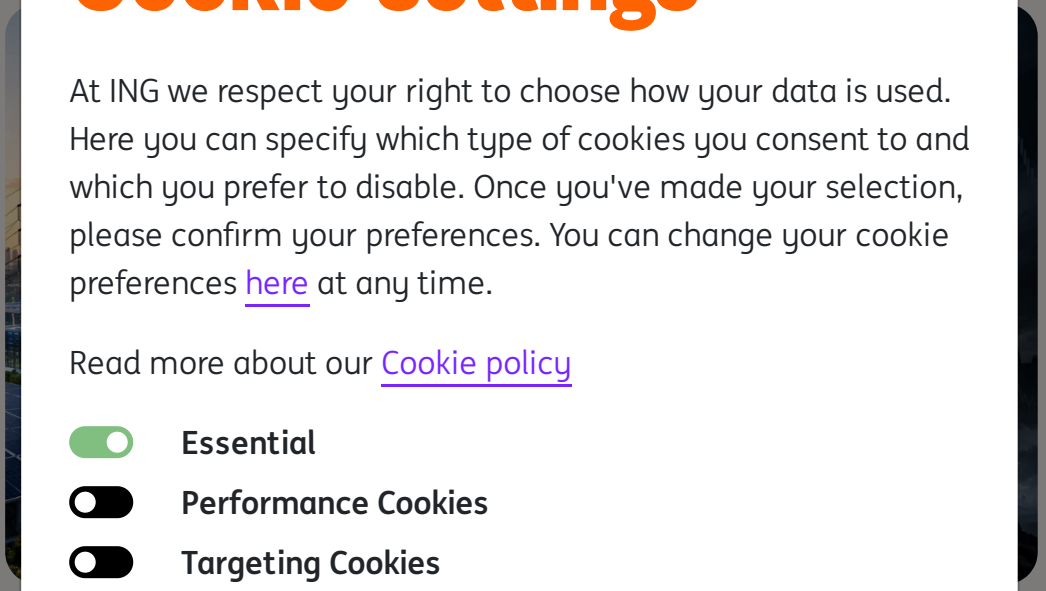

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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Energy affordability shaped the midterms. A divided government will now face pressure to shield consumers from rising data centre power costs while speeding up new energy supply. Onshoring and trade protections will continue, despite higher near-term costs, as energy security remains a priority

Coco Zhang

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protect supply chains. Pictured: Data centre in Ohio

Exit polls from the US midterm elections highlighted a key concern shaping voters' decisions: energy affordability. Nearly 90% of voters said the cost of living was a crucial or major factor in their vote for Congress, with many pointing to gasoline and utility costs. Meanwhile, as the AI data centre boom strains power supply and infrastructure, 56% said the issue was a crucial or major factor in their vote.

With Democrats now set to control both the House and Senate, what does this mean for US energy and data centre policy?

Newly elected lawmakers will face pressure to address these concerns, requiring the Democratic Congress and Republican White House to find common ground on shielding consumers from data centre-related costs and accelerating new power supply, including through permitting reform. Onshoring and supply chain protections are also likely to continue. While they can raise near-term costs, they remain important to US energy security. Developments in all three areas could have significant implications for businesses.

That said, Congress needs to strike a balance when drafting legislation aimed at achieving these goals. More aggressive measures could face a veto from President Trump.

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I… r… a… li… e… i… developers to bear relevant cost increases. Outright moratoriums remain unlikely to become mainstream. Where they are introduced, they are more likely to be temporary, giving states time to develop a data centre policy framework.

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At the federal level, the key unanswered question is how much authority should remain with the states and whether federal legislation should mandate state regulations or simply provide guidance. Republicans generally favour letting states lead, while Democrats tend to support a stronger federal role.

We think sweeping data centre legislation is unlikely because of President Trump's veto power. Federal action is more likely to focus

on affordability by protecting electricity customers from higher costs and formalising data centres' responsibility to help fund grid and energy infrastructure upgrades. Such measures could be added to broader legislation, such as must-pass spending bills needed to avoid a government shutdown, or a bipartisan package like permitting reform.

More broadly on AI, we expect the Democratic Party to increase scrutiny of technology companies, as discussed here, while utilising the next two years to prepare an AI governance framework for 2028 and beyond.

However, tighter AI and data centre regulation is unlikely to fundamentally alter the industry's growth trajectory. AI's

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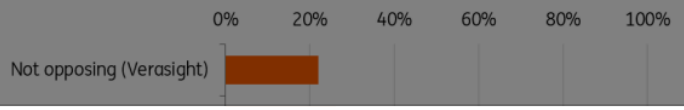
developers to be more selective and expand at a more measured pace, ultimately improving the quality of the project pipeline.

Developers should also treat community engagement as a strategic investment. Recent surveys show that while only 20-30% of Americans support local data centre construction, support can rise to 50-70% when there are accompanying community investments, such as in public infrastructure improvements or reductions in residents' costs. More developers are now signing binding community benefit agreements as part of project development.

Finally, sustainability will become more important for project development, not only to meet potential environmental standards, but also to build community support. Read more here.

Americans' perceptions on local data centre construction, with and without community investment



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B t rising demand from AI and manufacturing reshoring. They also generally agree that energy abundance can help reduce cost pressures. While Democrats and Republicans differ on the preferred energy mix, there is still common ground. Technologies likely to retain bipartisan support include nuclear, geothermal, carbon capture, and biofuels.

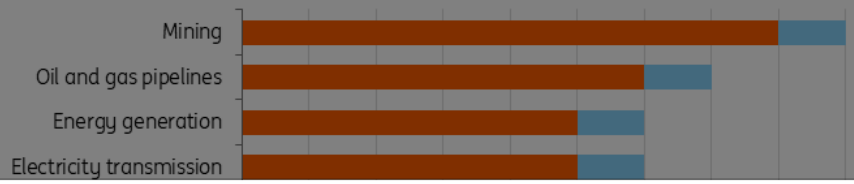
However, the greatest potential for policy action may lie not in specific technologies, but in permitting reform.

Today, many energy projects can spend over five years navigating the federal permitting process. Around $240bn to $280bn of infrastructure investment across the eight sectors below enters the

permitting pipeline each year. Lengthy delays can therefore leave substantial capital tied up and project benefits unrealised.

Average federal permitting time by sector in the US

Years; orange represents the lower end of the range, while blue represents the higher end



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administrations

- Making it easier to permit power transmission lines

Despite debate over its environmental impact, there is broad agreement that the BAAJA would meaningfully improve the permitting process. The key question is whether it can become law under the current Congress. The Senate is expected to vote on 9 November, after which the bill would still need approval from the House and President Trump. Democrats may want to delay the bill and seek changes once they regain control of Congress next year, but doing so could increase the risk of a presidential veto. This creates an incentive to reach a deal sooner rather than later.

Even if the BAAJA does not pass under the current Congress, permitting reform is likely to remain a bipartisan theme. The growing need to expand power supply and infrastructure more quickly will keep pressure on future Congresses to streamline permitting.

Business implications

For energy companies – both renewables and fossil fuels – the BAAJA could significantly shorten permitting timelines. If enacted, it would give project developers greater certainty, reducing the risk of litigation and permit cancellations. This

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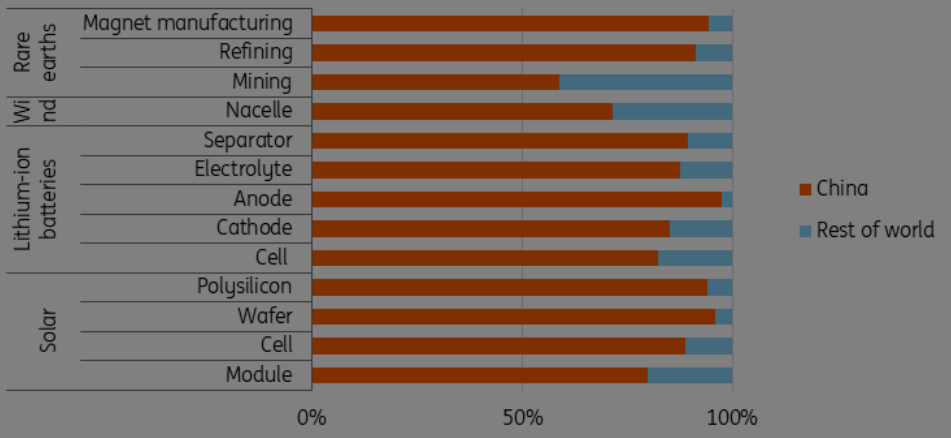
benefits of stronger domestic manufacturing and more secure supply chains could outweigh those costs.

Global supply chain capacity distribution across various sectors



Source: ING Research, BloombergNEF, International Energy Agency

This creates two key risks. First, heavy reliance on China leaves US industries vulnerable to geopolitical tensions. We have already seen the

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pursue further protective measures and is unlikely to face major opposition from Congress. Congress could also authorise additional funding to strengthen rare earth supply chains.

Furthermore, a Democratic-controlled Congress could push to extend clean manufacturing tax credits as part of broader negotiations with President Trump. Given the administration's focus on countering China and expanding US manufacturing, an extension could emerge as a compromise in a broader legislative package under an optimistic scenario. All these efforts would also extend into future administrations.

Business implications

For US companies:

Clean energy companies and other industries that rely on rare earths, including semiconductors, AI, defence, and electronics, should have enough policy certainty to build long-term supplier relationships outside China. In the near term, however, diversification could raise supply chain costs as alternative sources may be more expensive. Solar could face particular cost pressures, as some tariffs on supply chain equipment also apply to non-Chinese suppliers.

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duction, and subsidy rules. This could intensify global competition for non-Chinese suppliers and push costs higher.

United States | Sustainability | Energy production | Elections | Data centres

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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below 2°C and pursuing efforts to limit warming to 1.5°C. Geopolitical tensions, policy shifts, trade protectionism, rising energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

Electrification marries economic growth

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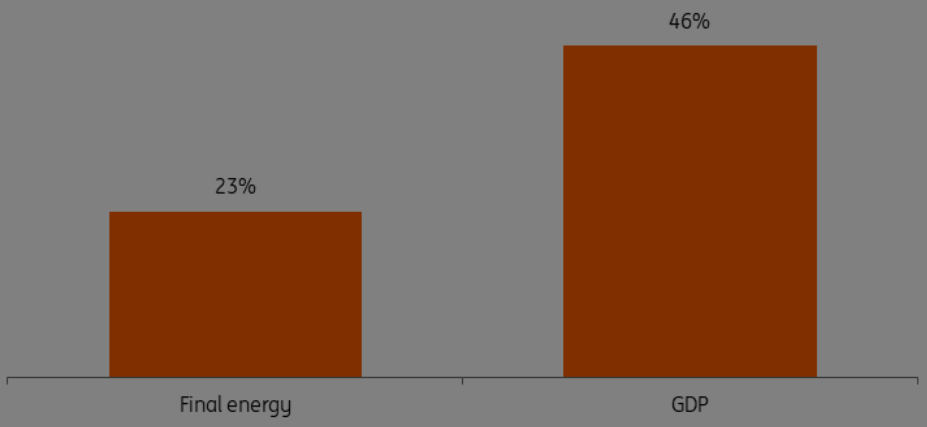
E… outweighs its share of energy use

Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

COP31's push to accelerate electrification reflects this trend. The C… f… G… w… c… T… ir…

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…Smart Grid Action Network has extensive experience sharing best practices, but could go further by translating knowledge into direct technical assistance and ready-to-deploy models
- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel, cement, and aviation accounting for roughly 20% of the global t… y i… t l…

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B… s… economics depend heavily on government support. Demand for cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

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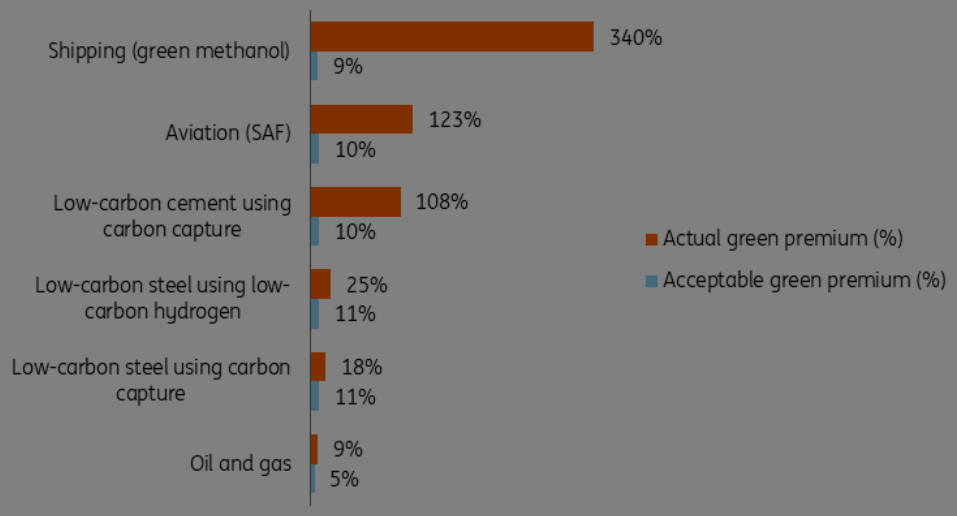
Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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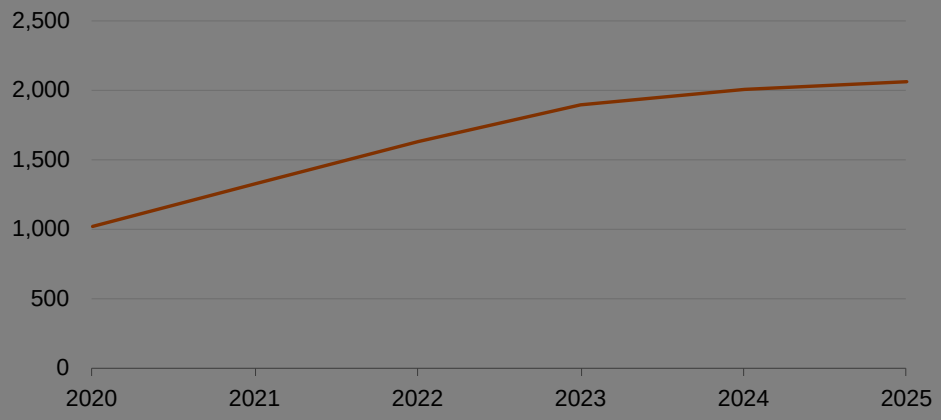
slower rate.

Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

But the headline number masks significant gaps. First, even though climate mitigation (i.e. emissions reduction) finance accounted for $ n a o n

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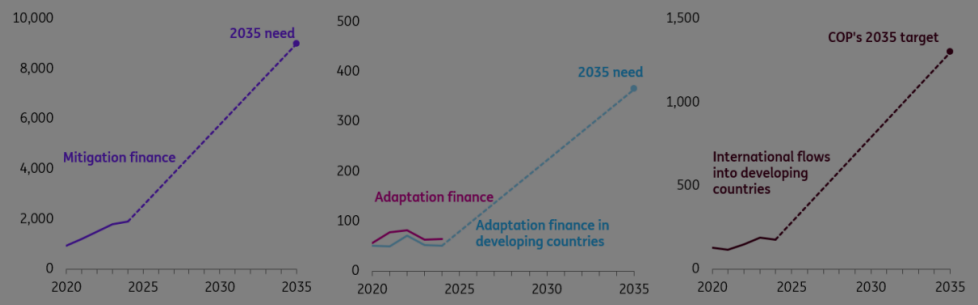
Imbalances among growing global climate finance

Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two segments. But their higher risks or weaker business cases can make it difficult to attract capital without supportive policies. Investors are a
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hurricanes in the US, and other extreme weather events are already affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate Implementation Bridge (BRIDGE) initiative could make projects easier for investors to identify and assess by centralising

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term growth, but they are more effective with international coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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